

PERSPECTIVE

As *The Elliott Wave Theorist* has maintained for over thirteen years (see Appendix D of *Elliott Wave Principle*), the proper wave count for the inflation-adjusted DJIA is that the Grand Supercycle bull market that began in 1784 ended in *February 1966*. The pattern under the Wave Principle is classic. Figure 3-1, reproduced from the January 1982 issue, shows the position of the inflation-adjusted Dow as *The Elliott Wave Theorist* viewed it thirteen years ago.

As you can see, waves (II) and (IV) alternate in form, as is normal. Wave (II) is a well constructed flat correction labeled A-B-C, and wave (IV) is an excellent contracting triangle labeled A-B-C-D-E.

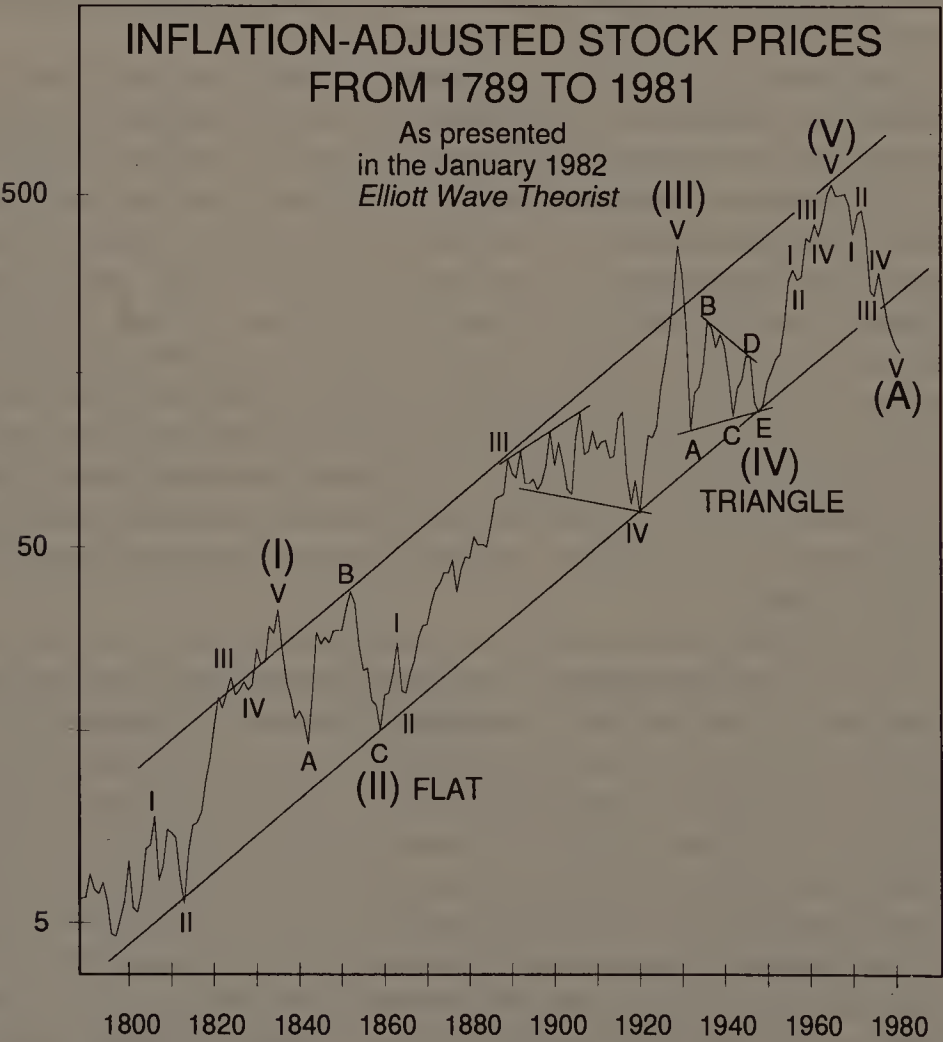


Figure 3-1